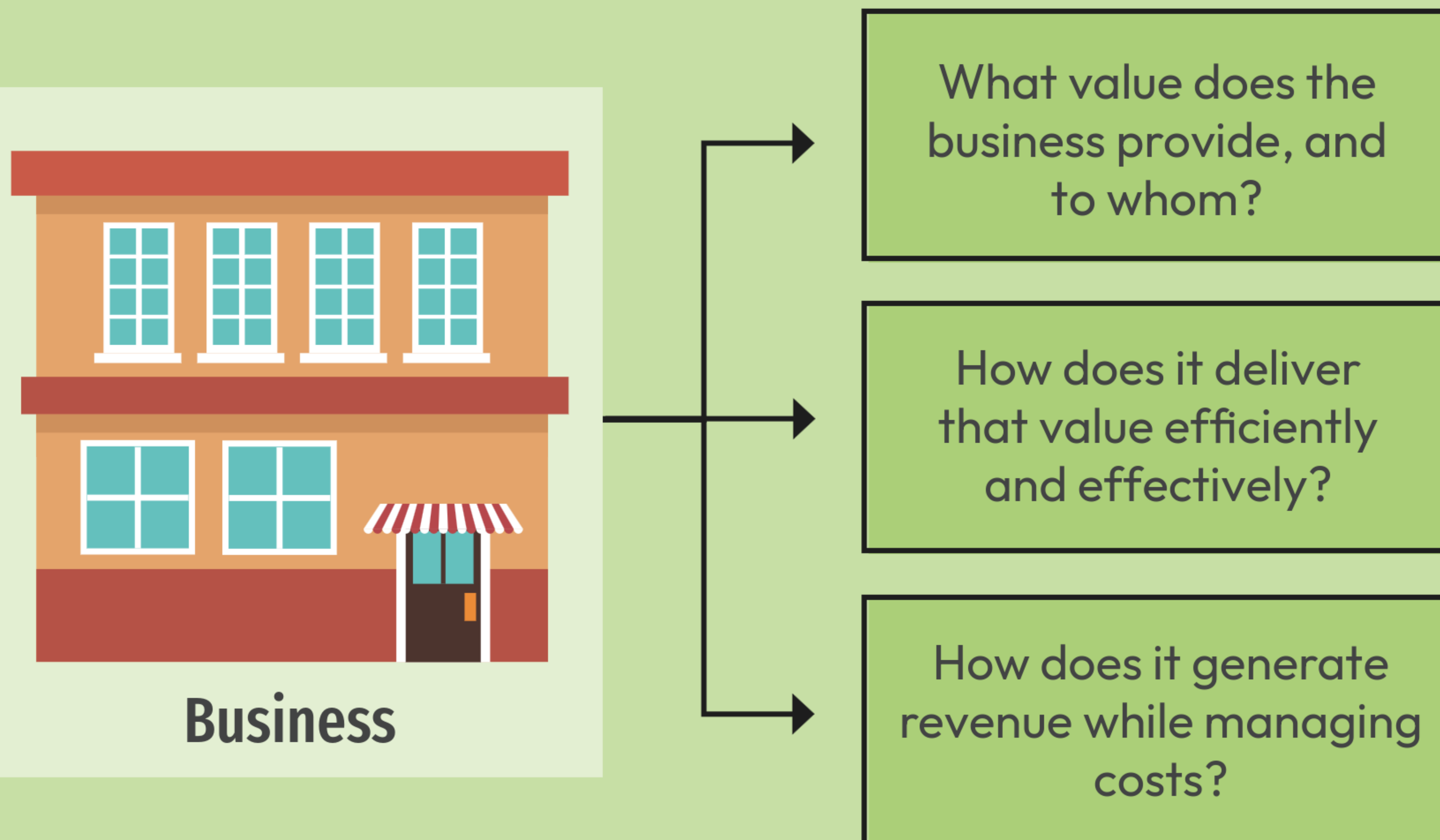


7.1 What is a Business Model?

A business model is a company's blueprint for generating revenue and delivering customer value. It encompasses the core components of a business, including its value proposition, product or service offerings, revenue streams, cost structure, customer segments, and distribution channels.



A strong business model balances profitability and customer satisfaction for long-term success. It provides a structured approach to decision-making, helping businesses adapt to market changes, optimize resources, and maintain a competitive edge. Whether it follows traditional models like direct sales, franchising, or subscriptions, or innovative approaches like platform-based ecosystems and freemium models, a strong business model is essential for long-term success.

Imagine you're launching a new snack startup. Your business model must define key elements like pricing, distribution, and customer appeal. Will you position your snacks as a premium, healthy option or an affordable everyday treat? Will you sell through retail stores, online platforms, or direct-to-consumer subscriptions?



To stand out, you might highlight unique flavors, use sustainable packaging, or focus on health-conscious ingredients. For example, offering baked or protein-packed snacks at competitive prices, selling through e-commerce, and branding them as a guilt-free indulgence can help you capture the market. A strong business model ensures profitability and long-term success.

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